

Defense Holds

S&P -1.23% after Thursday's record. 10Y yield to 4.58%, fresh 1-year high. Empire State 19.6 vs. 7.0 estimate. Brent above \$106 as Hormuz stays effectively closed.

THE SESSION

Thursday's record close did not survive the weekend setup. The S&P 500 fell 1.23% to 7,409.18, the Dow declined 1.07% to 49,526.16, and the Nasdaq dropped 1.55% to 26,221.52 as the bid that had carried both benchmarks through 7,500 and 50,000 was withdrawn within twenty-four hours of being established. The Russell 2000 led the decline at -2.44%; the VIX rose 5.79% to 18.26. The catalyst was not a single headline but a confluence: the 10-year Treasury yield spiked nine basis points to a fresh one-year high near 4.58%, the 30-year cleared 5%, and the 2-year broke above 4% for the first time in this cycle — the bond market repricing a Fed that may need to hike rather than cut.

The Empire State Manufacturing Index landed at 19.6 versus a 7.0 estimate, the strongest reading in more than four years, with the prices-paid sub-index surging alongside. Combined with this week's hot CPI and PPI prints, the data argues that the inflation impulse from the energy shock is broadening rather than fading. WTI crude added more than 3% to settle near \$104 and is on track for a 10% weekly gain; Brent traded above \$106. The Strait of Hormuz remains effectively closed and the IEA continues to warn of materially undersupplied conditions through October. President Trump described the Iran ceasefire as on "massive life support" after dismissing Tehran's latest proposal.

The Trump-Xi summit in Beijing closed without major deliverables. Claims of a 200-plane Boeing order, expanded US agricultural purchases, and an Iran-no-nukes alignment generated headlines, but no formal documentation accompanied the meeting; Beijing has separately instructed Chinese firms to hold off on H200 chip purchases pending guidance. The semiconductor complex that powered Thursday's record close gave back ground broadly, with the rotation from AI infrastructure into defensive cash flows visible across the tape. Kevin Warsh formally took over the Federal Reserve as Chairman Powell's term ended at the close; futures now price a 45% chance of a Fed hike before

year-end, up from roughly 1% a month ago.

Underneath the headline indices, the day rewarded what it always rewards on a yield-and-oil session: balance sheets, dividends, and energy. IOWN's Dividend Strategy declined 0.64% — less than half the S&P's drop and notably better than DVY at -1.00%. The Growth Portfolio at -2.88% absorbed more of the rotation through its semiconductor and digital concentration. Both portfolios remain in green territory year-to-date; the Dividend sleeve leads its benchmarks meaningfully.

IOWN Tactical: defensive cash flows do their work on the days the tape needs them to. The Dividend sleeve's 36-basis-point outperformance versus DVY on a sell-off session is exactly the architectural reason it sits where it does in the allocation. Think Like an Owner.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

DVN +4.76% DIVIDEND STRATEGY

Oil rally on Hormuz closure and Trump's "life support" ceasefire comments. WTI gained ~10% on the week. Devon's Coterra integration and recent \$8B buyback authorization continue to support the bid.

ATAT +3.46% GROWTH PORTFOLIO

Chinese consumer name decoupled from the broader semiconductor rotation. Idiosyncratic move on Hong Kong/Asia hospitality flows.

ADP +2.93% DIVIDEND STRATEGY

Payroll processor caught the bid in classic rates-up rotation. Highlighted in Yahoo coverage of leading dividend names yielding over 3%.

VLO +2.44% DIVIDEND STRATEGY

Crack-spread expansion on the crude rally pulled refiner higher even as broader market sold off. Stock up roughly 80% over the past year.

CVX +2.39% GROWTH PORTFOLIO

Integrated major participated cleanly in the energy bid. Hormuz disruption keeps the structural undersupply thesis intact.

OKE +1.45% GROWTH PORTFOLIO

Midstream natural gas continues to track the energy complex higher. Volume and spread economics both supportive.

QCOM +0.70% DIVIDEND STRATEGY

Modest rebound after the cumulative ~16% drawdown from Monday's record. Profit-taking phase may be running its course ahead of next week's chip catalysts.

DECLINERS

COIN -7.82% GROWTH PORTFOLIO

Crypto-platform names led the digital sleeve lower as Bitcoin fell back below \$80,000 and the broader risk-asset bid faded. Yields-up environment is structurally challenging for the cohort.

AEM -6.40% GROWTH PORTFOLIO

Precious-metals miner caught the gold pullback (-2.85%) and the silver decline (-8%). The yields-up, rate-hike-priced-in backdrop is the explicit headwind.

MARA -6.40% GROWTH PORTFOLIO

Bitcoin miner moved in tandem with the underlying. The digital sleeve's daily-beta to BTC remains the operative variable on risk-off days.

HUT -6.31% GROWTH PORTFOLIO

Same dynamic as MARA: pure-play Bitcoin mining exposure with no offsetting cash flow.

AMD -5.69% GROWTH PORTFOLIO

Profit-taking on a stock that had more than doubled year-to-date. Daiwa's recent downgrade citing valuation provided cover for the trim; fundamental thesis (Meta 6GW deal, Q1 datacenter +57%) intact.

LRCX -4.82% DIVIDEND STRATEGY

Wafer-fab equipment sold with the broader semi complex. The dividend sleeve's tech exposure took its share of the rotation.

FCX -4.73% GROWTH PORTFOLIO

Copper miner caught the broader metals decline; copper itself fell 4.2% on the session as the rates-up move pressured the commodity complex.

NVDA -4.42% GROWTH PORTFOLIO

Worked off short-term overbought conditions ahead of next Wednesday's earnings print. Pre-print de-risking is the standard pattern.

GPC -4.42% DIVIDEND STRATEGY

Auto-parts distributor extended its post-earnings drift. The cyclical-quality cohort tends to underperform on rate-hike-fear days.

HOOD -4.41% GROWTH PORTFOLIO

Retail-trading platform moved with COIN and the broader digital risk-off.

TOL -4.38% GROWTH PORTFOLIO

Homebuilder under pressure as the 30-year mortgage proxy follows the long bond. Earnings May 19 will be the next read.

CAT -3.49% DIVIDEND STRATEGY

Industrial bellwether gave back Thursday's Dow-50K narrative gain. Yahoo coverage continues to flag tariff margin pressure as the analytical overhang.

HOLDINGS NEWS

NVDA earnings Wednesday, May 20. Single largest catalyst for the semiconductor sleeve and arguably for the broader tape.

Polymarket prices roughly a 95% probability of a beat; the operative question is China commentary and Blackwell visibility against the H200 approval backdrop. ADI also reports the same day.

TOL earnings Tuesday, May 19. Homebuilder print arrives with mortgage rates at one-year highs and the long bond breaking 5%. Margin commentary and order-book color will set the tone for the housing-adjacent cohort.

DVN dividend \$0.32, ex-date June 15. Devon raised the fixed dividend 33% in conjunction with the Coterra merger and the \$8B buyback authorization. The capital-return architecture remains the cleanest in the large-cap E&P space.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY
✓ BEAT BOTH
-0.64%

vs. DVY -1.00% | SPY -1.21%

GROWTH PORTFOLIO
X TRAIL
-2.88%

vs. IUSG -1.56%

YEAR-TO-DATE

Dividend +11.72% vs DVY +6.96% / SPY +8.39%

Growth +9.26% vs IUSG +11.16%